

SEBI Advisory on Unregistered Investment Advisers and Fake Stock Trading Apps

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Official Advisory: Securities and Exchange Board of India: Investor Protection Alert

Proliferation of Fake Trading Apps and Social Media Groups

SEBI has observed unauthorized entities luring investors through Telegram groups, WhatsApp groups, Instagram reels, and Facebook ads. Fraudsters promise guaranteed high returns ranging from 20% to 100% per month through institutional trading, algorithmic bots, or exclusive pre-IPO allocations.

Mule Bank Accounts and Fictitious Dashboards

Victims are instructed to download unlisted Android APKs or visit spoofed trading websites showing fictitious profit dashboards. Funds are instructed to be deposited into individual mule savings accounts rather than recognized clearing corporation accounts. When the victim attempts withdrawal, the platform demands additional 'taxes', 'margin fees', or 'regulatory clearance charges' before absconding.

Mandatory Verification of SEBI Registration

1. Always verify the registration status of any financial intermediary, research analyst, or portfolio manager on the official SEBI portal (sebi.gov.in).
2. SEBI regulations strictly prohibit promising guaranteed returns in equity, derivatives, or mutual fund markets.
3. Never transfer investment funds to personal bank accounts or UPI IDs belonging to individuals.

Investor Grievance Redressal

Complaints against unauthorized schemes should be lodged on SEBI SCORES portal (scores.gov.in) and cybercrime.gov.in.

Citizen Action Checklist & Red Flags

- **Verify Sender Identity:** Always check official website addresses and header IDs (e.g., VM-SBI, AX-HDFC). Scammers use fake sender masks.
- **Never Share Authentication Secrets:** Passwords, OTPs, UPI PINs, and debit card CVVs are strictly confidential. Bank staff will NEVER ask for them.
- **Independent Verification:** If you receive a threat or alert about an account freeze, call the official bank branch number found on your physical card or bank statement.
- **Immediate Reporting:** Report cyber financial fraud within the Golden Hour by calling 1930 or visiting cybercrime.gov.in.

Frequently Asked Questions (Regulatory Clarifications)

Q1: Can money be deposited into my bank account by entering my UPI PIN?

A: No. A UPI PIN is solely an authorization to debit funds from your linked bank account. Receiving funds requires NO authentication or PIN entry.

Q2: What is the first action to take if money is fraudulently deducted?

A: Dial 1930 immediately to register the complaint on the Indian Cybercrime Coordination Centre (I4C) CFCFRMS portal so that the beneficiary account can be frozen before funds are withdrawn.

Q3: What should I do if an unknown caller threatens me with a police arrest over video call?

A: Disconnect immediately. Indian police and law enforcement agencies never issue summons, conduct investigations, or place citizens under 'Digital Arrest' via video calls.

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